# 400K U.S. ADVISOR TAM / AFFILIATION BREAKOUTS

| Affiliation Type | Est. Population % | Est. AUM Market Share | Key Characteristics | Structural Trend |
|---|---|---|---|---|
| Independent Broker-Dealer (IBD) | 36% | 1. 10–13%<br>2. $3T–4.5T | Independent Contractor (1099). Higher payout (70–90%) than Wirehouses, but with high broker-dealer fees and a lingering suitability standard (less pure fiduciary focus). Often reliant on dated technology platforms. Own their practice brand but rely on the IBD for compliance, product access, and back-office support. Seek balance between autonomy and necessary infrastructure. | Stable/Slight Decline in overall count (due to consolidation) but growth in assets and scale (driven by large firms like LPL). |
| Registered Investment Advisor (RIA) | 32% | 1. 28–32%<br>2. $8.4T–11.2T | Owner/Pure fiduciary (fee-only/fee-based). Highest payout (100% minus RIA firm expenses). Fully autonomous over their tech stack, investment strategy, branding, ad service model. Maximize payout potential and often grow via M&A (Aggregators). Focus on client best interest and comprehensive planning. | Strongest Growth Channel. Projected to continue rapidly gaining market share in both headcount and assets from all other channels. |
| Wirehouse | 14% | 1. 25–30%<br>2. $7.5T–10.5T | Employee (W-2, salary/commission). High brand recognition, robust infrastructure, but low payout (30–50%) and heavily scrutinized compliance. Limited autonomy and often restricted to proprietary products. Access to proprietary products, institutional research, and lending solutions from a single, globally recognized firms (i.e., all the stability of the major banks). | Steepest Decline in Headcount. Losses are primarily due to veteran advisors breaking away to the RIA channel, despite high asset retention. |
| Bank/Insurance/ Captive B/D | 18% | **Regional/National BD**<br>1. 15–20%<br>2. $4.5T–7T | Advisors who are captive employees of institutions like banks or insurance companies. Business is commonly built through prospecting, personal networks and referrals, with a strong emphasis on protection products (life, disability, annuities) and a sales-driven operating cadence. Many are evolving toward holistic planning and managed money, but legacy comp and product incentives can keep the practice product-first vs. advisory-first; they also have limited product flexibility. Client base often starts mass affluent and becomes HNW over time through relationship depth and career longevity. | Stable to Slight Decline. Affected by consolidation and internal shifts toward digital advice platforms. Also, younger advisors struggle with cold-start prospecting models, consumer demand shifts toward fiduciary planning and fee transparency. The channel tends to split into two paths: career-product sellers vs wealth-planning builders<br>Top performers increasingly pursue hybrid/ RIA paths to access fee-based growth and higher-end wealth capabilities. |

Note: There's also $1.5T–3T via Fintech acquisition